

**BAKER
HUGHES**

Rpt Date 02/Sep/2006		Well Name/No Bilabri D 2		Section Name/No 12 1/4" pilot hole - 2 #5		Mud System SYN-TEQ (PARA)													
Job# 1	Spud Date 05/Jul/2006			MD 2494.00 m		Progress 109.00 m		Present Activity Tripping											
Operator Peak Petroleum Indust. Limited		Company Rep James Blackmon/Peter Vermeulen			Contractor Dolphin Drilling Ltd		Contractor Rep Stephen Milne /Harvey Ketchion												
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN										
Drilling Assembly						Casing		Volumes		Pump Information									
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min		
12 1/4		HCC		PDC			19 1/2	178.00	Total Hole	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0			
Drill Collars		Drill Pipe		13 3/8	12.415	1622.00	1291.6			Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0			
OD in	ID in	Length m	OD in	ID in	Length m		12 1/4	2494.00	Active Pits	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0			
9 1/2	2.800	18.26	5	4.276	1449.44				501										
8 1/2	2.800	29.09	5	3	166.87				Tot Active										
									1792.6	Circulation Times									
									In Storage	Surface to Bit		min/stks		Total System		min/stks			
									538	Bottoms Up		min/stks							
Mud Properties						Max Ann Velocity		Hole Information											
Property		1	2	3	4	AV Riser	ft/min	Standpipe Pressure		0 psi		Water Depth						152.00 m	
Sample From		Reserve	Active Pit	Flow Line	Active Pit	AV Casing	ft/min	Hole Flow		USgal/min		Riser Booster Rate						USgal/min	
Check Time		03:00	09:00	18:10	23:00	AV Open Hole	ft/min	Solids Analysis											
MD m		2393.00	2437.00	2476.00	2494.00	Vc Open Hole	ft/min	Property	1	2	3	4							
TVD m		2196.00	2205.00	2203.85	76.99	Vc Drill Pipe	ft/min	LGS %	7.24	8.22	8.25	8.32							
Bit Depth m		2393.00	2437.00	2476.00	2288.00	Min Ann Velocity		LGS lb/bbl	65.98	74.94	75.17	75.79							
Inc deg			76.00	76.99	76.99	AV Riser	ft/min	HGS %	5.95	5.46	5.48	5.37							
Density ppg		10.00	10.00	10.00	10.00	AV Casing	ft/min	HGS lb/bbl	87.54	80.33	80.65	79.06							
Funnel Visc. sec/quart		72.0	75.0	71.0	74.0	AV Open Hole	ft/min	Avg Dens Sol sg	3.3215	3.2382	3.2385	3.2278							
Circ BHTdegF				175.3		Bit Information													
Flow Line Temp degF			155.0	153.0		Size	12 1/4 in												
Test Temp degF		112.0	142.0	153.0	135.0	Hours On Bit													
Rheol Temp degF		120.0	120.0	120.0	120.0	Bit Number													
PV cP		29	30	29	30	BHA Number		9	Rheology										
YP lbf/100ft^2		24	25	27	26	Depth In	m	600 RPM	82	85	85	86							
10sec Gel lbf/100ft^2		10	12	13	12	Bit RPM		300 RPM	53	55	56	56							
10min Gel lbf/100ft^2		21	24	24	23	WOB	klbf	200 RPM	42	44	45	44							
HTHP Filtrate cc		3.4	3.4	3.0	3.0	Nozzles	7x16	100 RPM	29	31	33	32							
HTHP Cake in/32		2.0	2.0	2.0	2.0	Bit Hydraulics		6 RPM</											

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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
Rig BULFORD DOLPHIN							

Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	8.0		20.0	0.0	
CENTRIFUGE	2	SWACO	0.0		0.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	0.0	2 x 210	0.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	23.0	3 x 175	20.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	23.0	3 x 175	20.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	23.0	3 x 175	20.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
				Total Volume Lost	80	0	

Additions bbl			Losses bbl			Total Volumes bbl			
Mud Added	Weight Materials	3	Downhole		Left In Pit	Starting Volume	2439.1	Riser w/o Pipe	215.7
Brine	Water		Cased Off		Trip Losses	Daily Additions	8.7	Casing w/o Pipe	709.3
Base Fluid	Product	5.7	Left In Hole		Injected	Daily Losses	117	Open Hole w/o Pipe	417.0
Recycled	Other		Discharged		Spill To Environment	Ending Volume	2330.8	String Displacement	50.5
			SCE	80	Onshore Disposal	Net Change	-108.3	String Capacity	90.4
			Evaporation	24	Returned			Total Hole w/ Pipe	1291.6
			Other Losses	13				Total Active	1792.6
								Total Reserve	538.0

Drilling Formation	20	Circulate	2	Tripping	2		
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Primary Currency USD		Secondary Currency		Totals USD	
Daily Product Cost	4082.84	Daily Product Cost	0.00	Primary Product	1424448.54
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	56250.00
Daily Engineering Cost	900.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	4982.84	Total Daily Cost	0.00	Primary Total	1480698.54
Total Inventory Value	557518.69	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	393.73 UK ton

Products and Services														
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price	USD	Daily Cost	USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl

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CALCIUM CHLORIDE (97%)	50 lb	280				40	240	21.00	840.00	10.43	6.75
CAUSTIC SODA	25 kg	17					17	37.89		0.03	0.04
POTASSIUM CHLORIDE BRINE	1 bbl	189					189	46.85		37.99	53.46
XANTHANGUM D	25 kg	36					36	345.22		0.19	0.27

CALCIUM CARBONATE - FINE	25 kg	180					180	21.68		0.54	0.01
CALCIUM CARBONATE - MED	25 kg	220					220	21.68		0.03	0.04
KWIKSEAL - MEDIUM	50 lb	39					39	70.52		0.02	0.03
MIL-PLUG FINE	50 lb	84					84	27.01			
MIL-SEAL MEDIUM	50 lb	90					90	36.00			
SOLUFLAKE F	50 lb	158					158	57.24			
SOLUFLAKE M	50 lb	80					80	57.24			

[illegible]

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